Synthetic Publication A: Recovery Periods for Business Property

Sec. 1. Purpose

This synthetic publication is a test fixture. It restates, in invented wording, how recovery periods are assigned to depreciable business property. It is not tax guidance and must not be cited as such.

Sec. 2. Recovery classes

Section 168(e)(3) groups property into recovery classes by class life. Property with a class life of 4 years or less is 3-year property. Property with a class life of more than 4 years and less than 10 years is 5-year property. Property with a class life of 10 years or more and less than 16 years is 7-year property.

Longer classes follow the same pattern: 10-year, 15-year and 20-year property, each defined by a class life band.

Sec. 3. General and alternative systems

Under the General Depreciation System (GDS) the recovery period is the one listed for the asset class. The Alternative Depreciation System (ADS) generally uses the class life instead, which is longer.

Sec. 4. Asset class 57.0, distributive trades and services

Asset class 57.0 covers assets used in wholesale and retail trade and in personal and professional services, such as display fixtures and point-of-sale equipment.

Assets in class 57.0 have a class life of 9 years and a GDS recovery period of 5 years.

Sec. 5. Asset class 00.11, office furniture

Asset class 00.11 covers office furniture, fixtures and equipment such as desks, files and safes. It has a class life of 10 years and a GDS recovery period of 7 years.

Sec. 6. Asset class 00.3, land improvements

Asset class 00.3 covers land improvements such as sidewalks, fences and parking areas, with a 15-year GDS recovery period.

Table A-1. Selected asset classes

Asset class	Description	Class life	GDS period	ADS period
00.11	Office furniture, fixtures, equipment	10	7	10
00.12	Information systems	6	5	5
00.3	Land improvements	20	15	20
57.0	Distributive trades and services	9	5	9
57.1	Distributive trades: land improvements	20	15	20

Sec. 7. Using Table A-1

Find the asset class that describes the activity in which the property is used, then read the class life and the GDS and ADS periods from the same row. Property in asset class 00.12 is recovered over 5 years under both systems.

Sec. 8. Buildings

Residential rental property is recovered over 27.5 years and nonresidential real property over 39 years, using the straight line method.

Sec. 9. Conventions

The half-year convention treats personal property as placed in service in the middle of the year. The mid-month convention treats real property as placed in service in the middle of the month.